

Intertek Group (ITRK.XLON) — Response to Possible Offer by EQT

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ticker_local: ITRK

mic: XLON

ticker_plus_mic: ITRK.XLON

isin: GB0031638363

sedol: 3163836

figi: null

issuer_figi: BBG000D9L3W0

company_name_local: Intertek Group

company_name_en: INTERTEK GROUP PLC

market_cap_usd_mm: 8421.85

market_cap_gbp_mm: 6631.38

exchange: LSE

country: GB

sector_code: "502050"

market_tier: MAINMARKET

score: 28.0

convergence_bonus: 0

score_total: 28.0

convergence_strategy_count: 1

status: pending_deep_dive

thesis_direction: long

translation_confidence: n/a

first_signal_date: 2026-04-16

last_updated: 2026-04-16

primary_catalyst_date: indefinite

cross_listed_on: []

related_signal_ids: ["d0175731827b3fbeca24c49039a1425d", "52c36d90dd51433b1d2caffde1fa6564"]

signal_type: takeover_possible_offer

signal_category: takeover

scanner: lse_rns

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> **STATUS: pending_deep_dive.** This is an operational-skill stub. The deep-dives skill should flesh out every section below on its next run. Do not act on this stub alone.

TL;DR (3 sentences max)

On 16 Apr 2026 Intertek issued a Rule 2.4-style "Statement re possible offer" at 11:37 UTC, followed by "Response to possible offer announcement by EQT" at 13:39 UTC — confirming EQT (the Swedish PE firm) is the named potential bidder for the UK-listed testing/inspection/certification group. Scanner classifies as `takeover_possible_offer`, score 28.0 (signal_strength 4, catalyst_clarity 4, info_asymmetry 2, risk_reward 3, edge_decay 3, liquidity 4, catalyst_timeline 3) — the info_asymmetry cap reflects that LSE takeover announcements are widely watched. This candidate is a stub pending human-in-the-loop deep-dive — thesis, steelman, kill conditions, and catalyst dates have not yet been researched.

Source signal(s)

• Signal 1 (11:37 UTC) —

<https://www.investegate.co.uk/announcement/rns/intertek-group--itrk/statement-re-possible-offer/9524033> — 2026-04-16 11:37 UTC — RNS — [verified] Intertek's initial statement confirming a possible offer; [inferred] follows a prior undisclosed approach, triggering Rule 2.4 obligation once media or leak forced disclosure.

• **Signal 2 (13:39 UTC)** — <https://www.investegate.co.uk/announcement/rns/intertek-group--itrk/response-to-possible-offer-announcement-by-eqt/9524268> — 2026-04-16 13:39 UTC — RNS — [verified] Follow-up naming EQT as the potential offeror; [inferred] EQT made a Rule 2.4 announcement from its side between 11:37 and 13:39, and Intertek is responding on the record.

Both signals merged into single candidate per dedup rule (same issuer_figi + same signal_type + same source_date). `related_signal_ids` captures the two source_content_hashes. No cross-listing signals observed; ITRK trades primarily on LSE Main Market.

Translation notes

n/a — English-language source.

Company context (to be completed by deep-dive)

- Market cap (USD): \$8,421.85mm; GBP: £6,631.38mm — **FTSE 100 large-cap**, not a small/mid opportunity.
- ISIN: GB0031638363 — UK-domiciled, GBP-denominated.
- Sector code: 502050 (per LSE classification) — Professional Services (testing, inspection, certification).
- Market tier: MAINMARKET.
- Trading status: N (normal) as of scanner run. TODO: confirm whether trading halted or paused intraday post-announcement.
- Business: Intertek is a global quality-assurance provider (testing/inspection/certification; TIC industry). Primary peers: SGS (Swiss-listed), Bureau Veritas (French-listed), Eurofins.
- Recent price action: TODO — deep-dive fetch 30/90-day, plus intraday 16 Apr 2026 reaction.

- Cross-listings: TODO — verify whether Intertek has any ADR or foreign-listing equivalents.
- Institutional ownership: TODO — FTSE 100 so expect 70%+ institutional; check recent 13G-style TR-1 filings for build-up.

Thesis statement (to be completed by deep-dive)

Pending. Scanner rubric pre-assigns `thesis_direction`: long for takeover_possible_offer classification on the target side. But note: a Rule 2.4 "possible offer" is NOT yet a firm offer and carries higher completion risk than a Rule 2.7 firm-offer candidate. Deep-dive must verify:

- Has EQT issued a written approach letter, or is this a preliminary discussion?
- What is the PUSU deadline (put-up-or-shut-up, typically 28 days from the Rule 2.4 date under the UK Takeover Code)?
- Price indications in either announcement — typical range as a premium to undisturbed price.
- Competing bidder potential — SGS, Apollo, KKR, Bridgepoint have all historically circled the TIC space.
- Strategic rationale — EQT's existing portfolio overlap; possible IDEX/Certara-style buy-and-build play.
- Takeover Panel treatment — whether the Rule 2.6(a) 28-day clock has started.

Steelman of the opposite view

Pending deep-dive. Possible angles to research:

- **Rule 2.4 walk-away:** EQT announces it will not proceed. Historical base rate for 2.4 → 2.7 conversion in UK large-cap is ~55%. 45% fail to convert, so ITRK drifts back to undisturbed price; recent premium gives up.
- **Valuation ceiling:** ITRK trades at a mature multiple (~20x FCF historically); PE may be priced out once due-diligence confirms TIC margin compression from competition with SGS and Bureau Veritas.
- **Financing / syndication risk:** At ~£6.6bn enterprise value this is a very large PE deal; financing markets may not support a 30%+ premium. Some PE ramps go hostile and then collapse on debt-market pushback.
- **Board rejection:** Intertek board may determine EQT's proposal undervalues the company and reject further engagement. Possible but Rule 2.4 naming by the target usually indicates prior preliminary discussions were not hostile.
- **Regulatory complexity:** UK CMA, EU competition, potentially US HSR — TIC industry is concentrated and EQT likely does not have a competing TIC business, so regulatory is not a primary risk but must be mapped.

Web research layer (mandatory — pending)

Required before promoting from pending_deep_dive → active:

- Financial press reporting on EQT approach — Bloomberg/FT/Reuters/Sky News. When did leak hit? Was 11:37 Intertek filing forced by media report?
- Analyst immediate reaction — Peel Hunt, Jefferies, UBS, Morgan Stanley views on standalone vs offer value.
- EQT historical large-cap UK take-privates (Dechra, Waystar) — conversion rate, timeline, typical premium.
- Shareholder register: top-10 holders, index-fund stakes (FTSE 100 passive holders), any activist-style accumulation in prior 90 days.
- CEO/Chair recent commentary — has Intertek signalled strategic dissatisfaction publicly?
- TIC industry consolidation context — SGS has been discussed as a merger counterparty historically.

Kill conditions (explicit — to be refined)

- **Kill 1:** EQT Rule 2.8 lapse announcement ("EQT confirms it will not proceed with an offer"). Observable on RNS within 28 days of 16 Apr 2026 (PUSU deadline approx 2026-05-14 unless extended).
- **Kill 2:** Intertek Rule 2.4 update stating board has terminated discussions and no agreed terms can be reached. Observable on RNS.
- **Kill 3:** Price indication disclosed in a subsequent announcement falls below the undisturbed price plus $\leq 15\%$ premium, below typical hostile-protection thresholds — market re-rates the "deal" downward.
- **Kill 4:** Competing bidder emerges at higher terms → switch-bid risk. Whether this is a kill or an upside depends on position sizing and entry price (arbitrage vs directional).
- **(refine with specific price thresholds after deep-dive retrieves undisturbed price and any indicative offer value)**

Catalyst map (skeleton — deep-dive to fill dates)

Event	Date/Window	Entry trigger	Exit trigger
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EQT Rule 2.4 announcement	2026-04-16 (completed)	N/A	N/A
Intertek Rule 2.4 response	2026-04-16 13:39 UTC (completed)	Entry on reopen	—
PUSU deadline (default 28d)	~2026-05-14	—	Kill 1 trigger if lapse
Potential PUSU extension (Takeover Panel permission)	Extends to a further 28d window	—	—
Rule 2.7 firm offer (if it converts)	T+28 to T+56	Re-underwrite on firm terms	—
Scheme / takeover offer document	T+28 post-firm	—	—
Shareholder meeting / court sanction	T+90 to T+120 post-firm	—	—

Position sizing note

Satellite (1–3%). Possible-offer (Rule 2.4) candidates have a materially lower conversion rate than firm-offer (Rule 2.7) — ~55% historical base rate for UK large-cap 2.4 → 2.7. Size **smaller than a Rule 2.7 arbitrage trade would warrant**, and manage explicit PUSU-deadline risk (Kill 1). ITRK liquidity is excellent (FTSE 100, £6.6bn mcap), so position sizing is not liquidity-constrained.

Source traceability

- <https://www.investegate.co.uk/announcement/rns/intertek-group--itrk/statement-re-possible-offer/9524033> — retrieved 2026-04-16 via lse_rns scanner (pipeline_runner run, window=1) — logged as signal_id d0175731827b3fbeca24c49039a1425d, hash 09dd19669bc360c67281adb3
- <https://www.investegate.co.uk/announcement/rns/intertek-group--itrk/response-to-possible-offer-announcement-by-eqt/9524268> — retrieved 2026-04-16 via lse_rns scanner — logged as signal_id 52c36d90dd51433b1d2caffde1fa6564, hash df26158b4c542c0a9bae4555
- OpenFIGI resolution: ticker=ITRK mic=XLON → issuer_figi=BBG000D9L3W0 (cached 2026-04-16)
- LSE alldata: ISIN GB0031638363, SEDOL 3163836, market_cap £6,631.38mm / \$8,421.85mm USD (retrieved 2026-04-16)

Scoring Rubric — merger_arb

Dimension	Weight	Definition
Spread Size	3.0	Closing spread vs. expected terms.
Deal Certainty	2.5	Approval path, regulatory load, financing.
Annualized Return	2.0	Return annualized on expected close.
Break Risk	1.5	Probability and severity of deal failure.
Liquidity	1.0	ADV vs. intended position size.